East African Breweries Limited

FULL YEAR RESULTS

Condensed Audited Financial Statements for the financial year ended 30 June 2017

Profit for the year
(from continuing operations)
+6%
to Kshs. 8.5 Billion

Capital Expenditure
+14%
to Kshs. 5.7 Billion

Annual Dividend
Kshs. **7.50**
per share

Condensed consolidated income statement

	For the year ended 30 June 2017 Kshs' M	2016 Kshs' M
Revenue	70,247	64,322
Cost of sales	(39,117)	(32,110)
Gross profit	**31,130**	**32,212**
Total Costs	(17,823)	(18,593)
Profit before income tax	**13,307**	**13,619**
Income tax expense	(4,793)	(5,598)
Profit for the year from continuing operations	**8,515**	**8,021**
Profit from discontinued operations, net of tax	-	2,249
Profit for the year	**8,515**	**10,271**
Basic Earnings per share	9.71	12.2
Earnings per share- continuing operations	9.71	9.36

Condensed consolidated statement of financial position

	As at 30 June 2017 Kshs' M	As at 30 June 2016 Kshs' M
Total equity	11,988	10,867
Non-current liabilities	32,694	26,847
Total equity and non-current liabilities	**44,682**	**37,714**
Non-current assets	**44,532**	**44,127**
Working capital		
Current assets	**22,135**	**21,556**
Current liabilities	**(21,984)**	**(27,969)**
Net assets	**44,683**	**37,714**

Consolidated statement of cash flows

	For the year ended 30 June 2017 2017 Kshs 'M	2016 Kshs 'M
Cash generated from operations	21,524	27,934
Net interest paid	(3,174)	(3,265)
Tax paid	(4,435)	(6,092)
Net cash from operating activities	**13,914**	**18,577**
Net cash used in investing activities	(4,668)	(1,330)
Net cash generated from/(used) in financing activities	(992)	(18,225)
Net increase / (decrease) in cash & cash equivalents	**8,255**	**(978)**
At start of year	(3,954)	(1,392)
Foreign exchange impact of translation	(983)	(1,584)
Net increase / (decrease) in cash & cash equivalents	8,255	(978)
Cash and cash equivalents at end of the year	**3,318**	**(3,954)**

Condensed consolidated statement of changes in equity

Year ended 30 June 2017	**Share capital & Share premium** Kshs 'M	**Translation reserves** Kshs 'M	**Proposed dividends & Retained earnings** Kshs 'M	**Non-controlling interest** Kshs 'M	**Total equity** Kshs 'M
At 1 July 2015	**3,273**	247	10,172	(338)	**13,353**
Total comprehensive income for the year		(2,174)	9,651	617	8,094
Dividends	-	-	(9,885)	(695)	(10,580)
At 30 June 2016	**3,273**	**(1,927)**	**9,938**	**(416)**	**10,867**
Total comprehensive income for the year		(644)	7,677	693	7,726
Dividends		0	(5,931)	(674)	(6,605)
At 30 June 2017	**3,273**	**(2,571)**	**11,684**	**(397)**	**11,988**

The Board of Directors of East Africa Breweries Limited (EABL) is pleased to announce the company's results for the year ended 30 June 2017.

EABL's business demonstrated resilience despite a challenging trading environment across East Africa, mainly characterised by inflationary pressures and regulatory volatility, delivering a solid set of financial results. The Group registered Kshs. 8.5 billion in profit for the year from continued operations, a 6% growth compared to the previous period.

Key highlights:

- The Group's volumes accelerated by 5%, driven by a good performance in mainstream spirits and value beer, with both delivering double-digit growth.
- Net sales performance up 9% driven mainly by Kenya which had good spirits and value beer growth. However, this was impacted by weak bottled beer sales driven by excise-tax increases, making EABL products less affordable. Drought-related inflationary pressure impacted consumers' disposable incomes. Kenya market continued to contribute the giant share of EABL sales at 74%. Uganda's revenue improved by 7% while Tanzania's declined by 12%.
- Innovation contribution went up by 15% compared to last year, adding Kshs 19 billion to the total revenue across East Africa. Key innovations included Tusker Cider,Pilsner 7, Smirnoff Electric Ginseng in Kenya, Ngule in Uganda and Serengeti Lite in Tanzania.
- The Group's capital expenditure (CAPEX) rose by 14% to Kshs 5.7 billion as EABL continued investing in boosting production capacity for beer and spirits, increasing quality and environmental efficiencies of its current operations.

EABL's recent and planned investments have set the stage for improved performance in future with the announcement of the Kshs 15 billion investment in Kisumu brewery recently, aimed at boosting production capacity for Senator in the future.

EABL management is very encouraged by trends in the second half of the year in Kenya, during which the business saw better performance in premium and mainstream beer. In Tanzania, the company has made a settlement with the Fair Competition Commission after several years of uncertainty and the business was back in growth in the fourth quarter.

DIVIDEND

- The Board of Directors has recommended a final dividend of Kshs. 5.50 per share.
- The 2017 annual dividend remains unchanged from last year at Ksh. 7.50 per share. The records date for qualification for the dividend is 25 August 2017. The dividend shall be paid, net of withholding tax, on or about 31 October 2017.

By order of the Board

Joyce Munene
Group Company Secretary

Date: 27 July 2017

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Celebrating Life